

## 23GDCV01837 23GDCV01837

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Case Number: 23GDCV01837 Hearing Date: August 20, 2026 Dept: E

Case No:

23GDCV01837

Hearing Date: 08/20/2026 – 8:30 a.m.

Trial

Date: 07/19/2027

Case

Name: PREP KITCHEN DISTRICT, LLC

v. ELAN BUILDING COMPANY, et al.

[Tentative Ruling – Demurrer]

RELIEF REQUESTED

Cross-Defendant, Accurate System Design, Inc., demurs to the  
Cross-Complaint of Elan Building Company on the following grounds:

1. That, as to the third, fourth,  
fifth and sixth causes of action, for “equitable indemnity”, “equitable  
contribution”, “equitable apportionment” and “declaratory relief”,  
respectively, engineers and general contractors are not joint tortfeasors vis-à-vis  
an owner’s claims, without which status claims grounded in equitable indemnity,  
contribution or apportionment will not lie. As such, demurrer is proper under Code  
of Civil Procedure §430.10 (e).

2. That, as to the third, fourth,

fifth and sixth causes of action, for “equitable indemnity”, “equitable contribution”, “equitable apportionment” and “declaratory relief”, respectively, such cannot lie, inasmuch as in suits by owners against contractors, any liability of an engineer for those claims is imputed to the owner as contributory fault, thus reducing the general contractor’s liability and leaving no quanta of liability from which indemnity can be had, rendering demurrer proper under Code of Civil Procedure §430.10 (e).

3. That, as to the third, fourth, fifth and sixth causes of action, for “equitable indemnity”, “equitable contribution”, “equitable apportionment” and “declaratory relief”, respectively, any such claims are barred under the agency doctrine, rendering demurrer proper under Code of Civil Procedure §430.10 (e).

4. That, as to the eleventh cause of action, for “negligence”, it does not separately set forth any damage claim, and appears to simply be a disguised indemnity claim, subject to all the challenges set forth above, and rendering demurrer proper under Code of Civil Procedure §430.10 (e).

5. That, as to the eleventh cause of action, for “negligence”, the contractor’s claim against the engineer is barred under the “economic loss” doctrine, rendering demurrer proper under Code of Civil Procedure §430.10 (e).

6. That, as to the eleventh cause of action, for “negligence”, any such claims are barred under the agency doctrine, rendering demurrer proper under Code of Civil Procedure §430.10 (e).

7. That, as to the eighth cause of action, for “professional negligence”, an engineer owes no duty of care to a general contractor with which it did not contract, such that a negligence cause of action can lie against it, rendering demurrer proper under Code of Civil Procedure §430.10 (e).

(Dem., p. 2-3.)

PROCEDURAL

Moving

Papers: Notice/Demurrer;  
Request for Judicial Notice

Opposition  
Papers: Opposition

Reply  
Papers: No reply submitted as of 8/17/2026; hearing date is 8/20/2026

Meet and Confer

A party filing a demurrer “shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (CCP, § 430.41(a).) “The parties shall meet and confer at least five days before the date the responsive pleading is due. If the parties are not able to meet and confer at least five days prior to the date the responsive pleading is due, the demurring party shall be granted an automatic 30-day extension of time within which to file a responsive pleading, by filing and serving, on or before the date on which a demurrer would be due, a declaration stating under penalty of perjury that a good faith attempt to meet and confer was made and explaining the reasons why the parties could not meet and confer.” (CCP, § 430.41(a)(2).)

Failure to sufficiently  
meet and confer is not grounds to overrule or sustain a demurrer. (CCP, § 430.41(a)(4).)

Cross-Defendant's counsel  
alleges that a meet and confer occurred. (See Macaulay Decl., ¶ 2.)

## LEGAL STANDARDS FOR DEMURRERS

### Demurrer – Sufficiency

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) The court “treat[s] the demurrer as

admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law ....” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.)

In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, *supra*, 147 Cal.App.4th at 747.)

The general rule is that the plaintiff need only allege ultimate facts, not evidentiary facts. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “All that is required of a plaintiff, as a matter of pleading ... is that his complaint set forth the essential facts of the case with reasonable precision and with sufficient particularity to acquaint the defendant with the nature, source and extent of his cause of action.” (Rannard v. Lockheed Aircraft Corp. (1945) 26 Cal.2d 149, 156-157.)

On demurrer, a trial court has an independent duty to “determine whether or not the ... complaint alleges facts sufficient to state a cause of action under any legal theory.” (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 734.) Demurrers do not lie as to only parts of causes of action, where some valid claim is alleged but “must dispose of an entire cause of action to be sustained.” (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.) “Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

#### Demurrer – Uncertainty

A special demurrer for uncertainty, CCP section 430.10(f), is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine

what issues must be admitted or denied, or what counts or claims are directed against him/her. (Khoury v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (Ibid.)

TENTATIVE

RULING DEMURRER

Background

Plaintiff, Prep

Kitchen District, LLC (Prep Kitchen), filed the Complaint in this action on 8/28/2023 against Defendants – (1) Elan Building Company (Elan) and (2) Varujan Babikian.

On 1/11/2024,

Cross-Complainant, Elan, filed a Cross-Complaint against Roes 1 through 100.

On 3/10/2026, Thermo

Tek Mechanical Inc., filed a Cross-Complaint against Moes 1 through 100.

At issue for

the instant hearing on 8/20/2026 is Elan's Cross-Complaint filed on 1/11/2024.

In Elan's

Cross-Complaint, Elan alleges the following causes of action:

1. Express

Indemnity;

2. Implied

Indemnity;

3. Equitable

Indemnity;

4. Equitable

Contribution;

5. Equitable

Apportionment;

6. Declaratory

Relief;

7. Breach of

Contract;

8. Breach of

Contract- Duty to Defend;

9. Breach of

Contract – Duty to Indemnify;

10. Breach of

Contract- Additional Insured Obligations;

11. Negligence;

12. Breach of

Express and Implied Warranties.

For background

purposes, Plaintiff's (Prep Kitchen) Complaint against Elan Building Company (Elan) and Varujan Babikian [Owner of Elan] alleges that Plaintiff entered into a contract with Elan for Elan to remodel a commercial kitchen. (See Compl., ¶ 4 & 11.)

Plaintiff

alleges that Elan made misrepresentations about its expertise, and Plaintiff alleges that Elan misrepresented that it had in-house employees that could complete the kitchen remodel, as opposed to typically relying on outside subcontractors. (See Compl., ¶ 11(a)-(b).)

Plaintiff

alleges that Elan not only used outside subcontractors, but that Elan breached the contract in a number of ways such as leaving work incomplete, failing to perform work, failing to secure approval by governmental authorities, and fraudulently submitting invoices. (See Compl., ¶¶ 15-18.)

Plaintiff's

Complaint against Elan and Babikian alleges the following causes of action:

1. Breach of

Contract;

2. Fraud;

3. Negligence;

4. Negligent

Misrepresentation;

5. Violation of

Business & Professions Code §§ 7101, 7113, 7116, 7119, and 7160;

6. Violation of

Business & Professions Code § 17200 et seq.

On 1/11/2024,

Elan filed a Cross-Complaint.

On 3/18/2026, Elan

(Defendant and Cross-Complainant) filed a Certificate of Merit In Support of the Cross-Complaint to be Filed Against Accurate System Design, Inc.

The

aforementioned Certificate of Merit, filed by Elan's attorney (Jeffrey S.

Kaplan), explains in relevant part that: (a) the Certificate of Merit is

submitted in accordance with CCP § 411.35(b)(1); (b) that Kaplan consulted with

and received an opinion from at least one professional mechanical engineer

licensed in California that practices in the same discipline as the

cross-defendant and believes that the professional mechanical engineer is

knowledgeable in the relevant issues involved in plaintiff's complaint; and (c)

there is a reasonable and meritorious cause for filing the cross-complaint. (See

Cert. Merit filed 3/18/2026.)

On 3/30/2026,

Elan added Accurate System Design, Inc. (Accurate), as Roe 4 to Elan's

Cross-Complaint as to the third, fourth, fifth, sixth, and eleventh causes of

action.

On hearing for  
8/20/2026 is Cross-Defendant's (Accurate) demurrer to Elan's Cross-Complaint  
[filed 1/11/2024].

#### Issue 1

On 3/30/2026, Elan  
added Accurate as Roe 4 to Elan's Cross-Complaint as to the third, fourth,  
fifth, sixth, and eleventh causes of action in Elan's Cross-Complaint  
(hereinafter Cross-Complaint or CC). (See Roe. Amend. filed 3/30/2026.)

On pages 2-3 of  
Accurate's Notice of Demurrer, Accurate lists seven (7) grounds for which  
Accurate demurs.

The seventh  
ground on which Accurate demurs to the Cross-Complaint is that Accurate demurs  
to the eighth cause of action for professional negligence.

At the hearing,  
Accurate is to address why it demurs to the eighth cause of action in the  
Cross-Complaint when it does not appear that Accurate was added to the  
Cross-Complaint as to the eighth cause of action. Further, Accurate is to  
address why it referred to the eighth cause of action as a claim for  
professional negligence when the Cross-Complaint lists the eighth cause of  
action as Breach of Contract- Duty to Defend.

#### Issue 2

Neither parties'  
papers are a model of clarity.

Since Cross-Defendant (Accurate) is  
demurring on the basis of failure to state facts sufficient to constitute a  
cause of action, the Court would have imagined that Cross-Defendant would have  
identified each cause of action in the Cross-Complaint alleged against  
Cross-Defendant, cited to legal authority explaining what the elements are for those  
causes of action, and then explained what element, or elements, Cross-Complainant



failed to allege for each cause of action.

Likewise, the Court would have imagined that Cross-Complainant's (Elan) opposition would have identified each cause of action in the Cross-Complaint alleged against Cross-Defendant, cited to legal authority explaining what the elements are for those causes of action, and then explained how the Cross-Complaint alleges each element for each cause of action.

The parties' papers, unfortunately, do not explain these things.

On 3/30/2026,  
Elan added Accurate as Roe 4 to Elan's Cross-Complaint as to the third, fourth, fifth, sixth, and eleventh causes of action in Elan's Cross-Complaint (hereinafter Cross-Complaint or CC). (See Roe. Amend. filed 3/30/2026.)

Elan's Cross-Complaint alleges the third (equitable indemnity), fourth (equitable contribution), fifth (equitable apportionment), sixth (declaratory relief), and eleventh (negligence) causes of action against Cross-Defendant, Accurate.

By and large, Cross-Defendant's demurrer is borderline incomprehensible.

Further, Cross-Complainant's opposition is borderline incomprehensible, and at times nonresponsive to many of Cross-Defendant's arguments.

Cross-Defendant makes a number of arguments, typically in the form of legal conclusions, by citing to an extensive number of cases.

First, the arguments/conclusions themselves are borderline incomprehensible on their face alone, i.e., the Court doesn't even understand the argument/conclusion in and of itself.

Second, Cross-Defendant appears to cite to small portions/quotes from cases and completely ignores the overall context of those cases in relation to the instant alleged facts in the Complaint and

Cross-Complaint. Cross-Defendant ignores differences in procedural posture, and Cross-Defendant ignores significant factual differences between the cases it cites and the alleged facts in the instant case. When the Court reads the cases that Cross-Defendant cites to, the Court is lost as to how those cases are applicable to the instant case. Cross-Defendant makes no cognizable explanation as to how the cases it cites are applicable here, when it appears the cases that Cross-Defendant cites have an extensive amount of differences to the instant case. In some scenarios, the cases that Cross-Defendant cites are so drastically different from the instant case that the Court cannot follow Cross-Defendant's arguments/reasoning as to how those cases are relevant. Cross-Defendant seems to completely gloss over major factual differences between the cases it cites and the instant alleged facts in order to arrive at some sort of simple rule in order to conclude why the Cross-Complaint cannot stand. However, every time the Court reads those cases, it cannot follow how Cross-Defendant arrives at the conclusions/arguments it reaches.

Third, most of Cross-Defendant's arguments and citations to case law rely on assumptions about the instant parties' relationship to each other in the instant case. Cross-Defendant treats these assumptions about the parties' relationship to each other as fact, and the Court has no idea how Cross-Defendant arrives at these assumptions, much less, the Court has no idea how Cross-Defendant can rely on them as fact.

For example, Cross-Defendant assumes, and acts as if it is a conclusively established fact, that Cross-Defendant is a mechanical engineer who entered into a contract with Plaintiff/property lessee (Prep Kitchen). The Court is unclear how Cross-Defendant can assume this is fact when both Plaintiff's Complaint, and Cross-Complainant's Cross-Complaint, do not allege as such.

Cross-Defendant may, but it is not clear by any means, be relying on Elan's Certificate of Merit [filed on 3/18/2026] to assume this relationship, but the Court fails to see how the Certificate of Merit establishes that Cross-Defendant was in fact a mechanical engineer that entered into a contract with Plaintiff.

Surprisingly, Cross-Complainant's opposition does not address any of Cross-Defendant's assumptions about the relationship between the parties.

As another example, Cross-Defendant assumes that Cross-Complainant is a general contractor, but nowhere in the Complaint, and nowhere in the Elan's Cross-Complaint, is it alleged that Cross-Complainant Elan is the general contractor.

In Cross-Complainant's (Elan) Cross-Complaint, Elan alleges it contracted with certain Cross-Defendants to provide work, products, and materials or supplies for the renovation of Plaintiff's property (Cross-Compl., ¶ 15), and Elan alleges that it entered into contracts with some Cross-Defendants to be subcontractors (Cross-Compl., ¶ 17), but nowhere in the Complaint or Cross-Complaint does it explicitly allege that Elan is/was the general contractor for Plaintiff.

Further, to the extent that Cross-Complainant alleges that some Cross-Defendants were subcontracts (see Cross-Compl., ¶ 16), that allegation is in the first cause of action (express indemnity) of the Cross-Complaint, but the first cause of action is not alleged against the demurring Cross-Defendant.

### Issue 3

Cross-Defendant Accurate argues that equitable indemnity/contribution/apportionment claims will not lie against design professional from an owner's claims against a general contractor.

Cross-Defendant cites to The Ratcliff Architects v. Vanir Construction Management, Inc. (2001) 88 Cal.App.4th 595 to support its argument.

The Court to hear argument.

First, the Court does not understand Cross-Defendant's argument on its face.

Second, the Court fails to see how Cross-Defendant is relying on Ratcliff when that case relies on relationships between several different parties, and those relationships between the parties in Ratcliff are not alleged in Plaintiff's Complaint or Cross-Complainant's Cross-Complaint.

Third, the types of parties involved in Ratcliff are not alleged here.

Issue 4 & 5

Cross-Defendant argues that an indemnitor and an indemnitee must be joint tortfeasors for equitable indemnity/contribution claims to lie between them.

Cross-Defendant cites to Major Clients Agency v. Diemer (1998) 67 Cal.App.4th 1116 and BFGC Architects Planners, Inc. v. Forcum/Mackey Construction, Inc. (2004) 119 Cal.App.4th 848.

The Court to hear argument.

First, the Court does not understand Cross-Defendant's argument on its face.

Cross-Defendant argues, without citing to case law, that to state a claim for equitable/comparative indemnity/contribution, there must be a joint contractual or tort obligation to another for damages.

The Court fails to understand Cross-Defendant's argument because that is the entire premise of Cross-Complainant's Cross-Complaint. Cross-Complainant is bringing its claims against Cross-Defendant for any damages the Court may find Cross-Complainant liable to Plaintiff for, thus Cross-Complainant is alleging that Cross-Defendant proximately caused or contributed to those actions. Plaintiff's Complaint alleges contract, tort, and, statutory claims against defendant/Cross-Complainant, Elan.

Second, the Court fails to see how Cross-Defendant is relying on the cases it cites when those cases rely on relationships between several different parties, and those relationships between the parties in those cases are not alleged in Plaintiff's Complaint or Cross-Complainant's Cross-Complaint.

For example, Cross-Defendant assumes

that Cross-Complainant is a general contractor, but where is that alleged in the instant matter? How can Cross-Defendant assume this when this case is at the pleading stage and it isn't even alleged?

Likewise, how come Cross-Complainant's opposition doesn't address if it is, or is not, the general contractor?

Further, even if this Court assumed BFGC Architects Planners, Inc. was on point, that case dealt with an architect suing a general contractor for implied indemnity. How is that relevant here when, even assuming Cross-Defendant's assumption – that Cross-Complainant is a general contractor – the engineer here is not suing the general contractor.

Additionally, Cross-Defendant argues that a general contractor, Elan, is not a joint, concurrent, or successive tortfeasor with an engineer (Accurate) vis-à-vis an owner.

The Court to hear argument.

First, the Court does not understand Cross-Defendant's argument on its face.

Second, Cross-Defendant relies on BFGC Architects Planners, Inc. v. Forcum/Mackey Construction, Inc. (2004) 119 Cal.App.4th 848.

Even if the Court assumes Cross-Defendant's assumption – that Cross-Complainant is the general contractor – how is Cross-Defendant assuming that itself, Accurate/engineer, entered into a contract with Plaintiff, like the architect in BFGC Architects Planners, Inc. entered into a contract with the school district? Nowhere in any pleading is it alleged that Accurate/engineer entered into a contract with Plaintiff.

Third, the Court does not understand Cross-Defendant's reliance on Alexander v. Hammarberg (1951) 103 Cal.App.2d 872.

Cross-Defendant argues that in as much as any liability the engineer might have to the general contractor is imputed to the Plaintiff/Owner, the very concept of equitable indemnity is inapplicable.

Cross-Defendant cites to Huber, Hunt & Nichols, Inc. v. Moore (1977) 67 Cal.App.3d 278.

The Court is not clear what Cross-Defendant is attempting to state; the Court to hear argument.

#### Issue 7

Cross-Defendant argues that as a matter of law, any deficiencies in the plans are charged to the owner, vis-à-vis a contractor; as such, no liability would flow through to Elan Building Company for the same, and equitable indemnity/contribution/apportionment does not apply.

The Court to hear argument; the Court is not clear what Cross-Defendant is attempting to argue.

#### Issue 8

Cross-Defendant argues that the agency relationship between design professionals and construction managers and owners, vis-à-vis the general contractor, has long been recognized, and bars such claims.

Cross-Defendant cites to several cases.

The Court to hear argument; the Court is not clear what Cross-Defendant's argument is. The Court also is not clear how the cases it cites with respect to this argument support its argument.

#### Issue 9

Cross-Defendant argues that the agency doctrine precludes any type of equitable indemnity claim by Elan and against Accurate System Design.

Cross-Defendant cites to several cases.

The Court to hear argument; the Court is not clear what Cross-Defendant's argument is. The Court also is not clear how the cases it cites with respect to this argument support its argument.

Issues 10 & 11

Cross-Defendant argues that Elan's Cross-Complaint against Accurate is barred under the economic loss rule and by lack of contractual privity.

Cross-Defendant cites to an extensive number of cases.

The Court to hear argument.

Cross-Defendant argues that where only economic losses are at issue, as distinct from personal injury or property damage, third party claims against design professionals retained by others and in tort cannot be had.

The Court to hear argument because Cross-Complainant's opposition argues that the Plaintiff's Complaint, which Cross-Complainant's Cross-Complaint is based off of, alleges property damage. The Court to hear argument because the Court is not entirely clear how the Complaint is alleging property damage. It appears that the Complaint alleges failure to perform certain construction work, and it appears the Complaint alleges work was performed in a poor manner and incomplete, but the Court is not entirely clear where the Complaint alleges property damage. Cross-Complainant is to point the Court to exact allegations, via direct quotes by citing to specific paragraphs in the Complaint, where property damage is alleged.

Further, the Court to hear argument because it is not clear by any means why Cross-Defendant relies on the cases that it cites with respect to the economic loss rule.

Cross-Defendant assumes that Cross-Defendant is a mechanical engineer and provider of services to Plaintiff,

and that Cross-Complainant is a general contractor, but the Court fails to see how this can be assumed or determined at the pleading stage when those things are not alleged or established as fact.

Additionally, many of the cases that Cross-Defendant cites with respect to the economic loss rule have an extensive number of differences compared to the alleged facts in the instant case. Some of the cases that Cross-Defendant cites to are so drastically different than the instant case, that the Court has no idea why Cross-Defendant cites them.

Cross-Defendant also argues that the principles enunciated in Bily bar third party claims for economic losses against design professionals.

Further, Cross-Defendant cites to cases such as Bily v. Arthur Young & Co. (1992) 3 Cal.4th 370; Southern California Gas Leak Cases (2019) 7 Cal.5th 391; Weseloh Family Ltd. Partnership v. K.L. Wessel Construction Co., Inc. (2004) 125 Cal.App.4th 152; and State Ready Mix, Inc. v. Moffatt & Nichol (2015) 232 Cal.App.4th 1227 to argue that since the general contractor (Cross-Complainant) and Cross-Defendant (Accurate) were not in contractual privity, Cross-Complainant cannot recover for purely economic losses.

The Court to hear argument because technically, the first cause of action alleges that Cross-Complainant entered into contracts with Roes 1-100, (Cross-Compl., ¶ 17), and Cross-Defendant was added as Roe 4. Therefore, under Cross-Defendant's theory that the two parties were not in contractual privity, technically the Cross-Complaint alleges otherwise. Problematic here is that the opposition does not argue that it entered into a contract with Cross-Defendant. Further, another problem the Court notes is that the allegations in ¶ 17 of the Cross-Complaint are located in the first cause of action for express indemnity, and that cause of action is not alleged against Cross-Defendant.

Most importantly, the cases that Cross-Defendant cites to acknowledge that there does not necessarily have to be a contractual relationship for Cross-Complainant to recover for purely economic losses when there is no damage to person or property.

The cases that Cross-Defendant cites



acknowledge that when there is no contractual relationship, the relevant question is whether Cross-Defendant had a tort duty to guard against negligently causing purely economic losses. Cases such as *Weseloh* explain that whether a duty exists depends on the circumstances and factors identified in *Bily*. (*Weseloh Family Ltd. Partnership v. K.L. Wessel Construction Co., Inc.* (2004) 125 Cal.App.4th 152, 165.)

The primary exception to the general rule of no-recovery for negligently inflicted purely economic losses is where the plaintiff and defendant have a special relationship. (*Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 400 citing *J'Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804-805.)

Courts sometimes impose a duty to prevent economic loss when there is no privity of contract when the injured party is an intended beneficiary of a contract between the defendant and another party. (*The Ratcliff Architects v. Vanir Construction Management, Inc.* (2001) 88 Cal.App.4th 595, 605 citing *J'Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804-805.)

Further, public policy may dictate the existence of a duty to third parties, and ultimately, duty is a question of public policy. (*The Ratcliff Architects v. Vanir Construction Management, Inc.* (2001) 88 Cal.App.4th 595, 605 citing *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 398-399.)

When determining whether a duty of care exists, the court examines various policy considerations and balances such factors as “the extent to which the transaction was intended to affect the plaintiff, the foreseeability of harm to him, the degree of certainty that the plaintiff suffered injury, the closeness of the connection between the defendant's conduct and the injury suffered, the moral blame attached to the defendant's conduct, and the policy of preventing future harm.” (*The Ratcliff Architects v. Vanir Construction Management, Inc.* (2001) 88 Cal.App.4th 595, 605 citing *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650.)

Although Cross-Defendant argues that there is no allegation of contractual privity, Cross-Defendant also argues that no allegation of duty exists here, but the Court doesn't follow

Cross-Defendant's argument.

At the very least, Cross-Complainant alleges in a conclusory fashion that Cross-Defendant owed Cross-Complainant a duty in paragraph 78 of the Cross-Complaint.

Cross-Defendant cites to an extensive number of cases – cases in which it is entirely unclear why they are applicable here – and then concludes that Cross-Complainant insufficiently alleges the element of duty.

The Court does not follow Cross-Defendant's argument because Cross-Defendant makes no explanation as to how the cases it cites are relevant here, and Cross-Defendant appears to assume that Cross-Complainant is the general contractor.

Cross-Defendant doesn't even attempt to explain how there is no duty here based on the Biakanja/Bily factors. (See *The Ratcliff Architects v. Vanir Construction Management, Inc.* (2001) 88 Cal.App.4th 595, 605 citing *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650.)

In opposition, the Cross-Complainant does not address what must be alleged to sufficiently state a claim for the negligence action re: the economic loss rule. Cross-Complainant argues that under the Biakanja factors, Accurate has a duty to Cross-Complainant Elan, but Elan does not explain what must be alleged, and Cross-Complainant does not explain how it sufficiently alleges the claim.

Overall

Both parties' papers are borderline incomprehensible and unhelpful to the Court. Neither party explains what elements must be alleged for the causes of action implicated in this demurrer.

It appears that this Court could OVERRULE the demurrer based on Cross-Defendant providing incomprehensible arguments, and it appears that this Court could SUSTAIN the demurrer with LEAVE TO AMEND GRANTED so Cross-Complainant can properly allege what it is supposed to, whatever that is.

Cross-Defendant's request for judicial  
notice is granted.